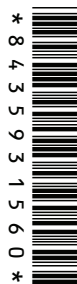


Done!

Cambridge
International
AS & A LevelCambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level**ECONOMICS**

Paper 1 Multiple Choice

9708/12**October/November 2016****1 hour**Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq

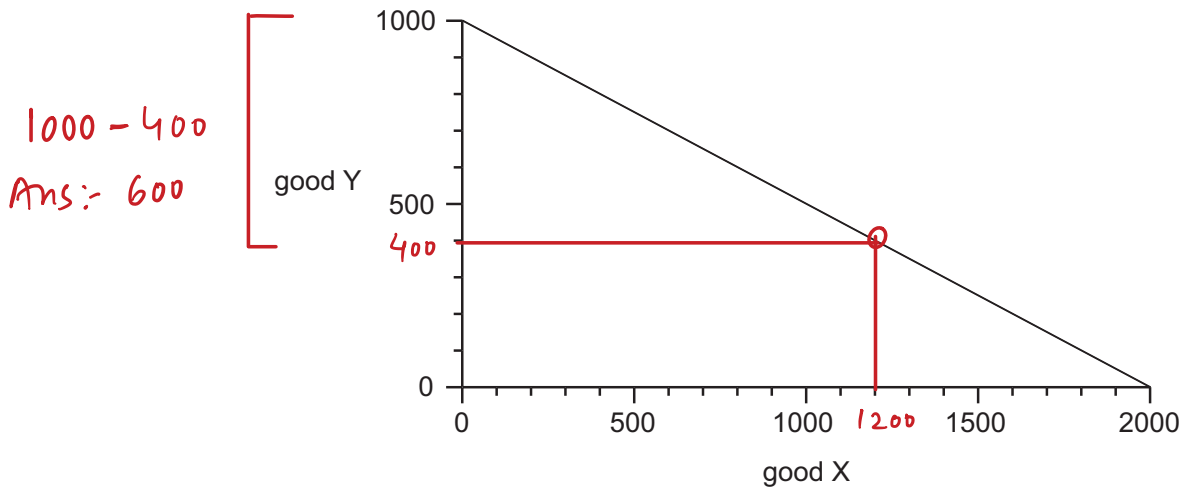
Solved with reasons!

This document consists of **12** printed pages.

* combinations of outputs that an economy can produce with given resources

2

- 1 The diagram shows a production possibility curve for an economy that produces only two goods, X and Y.



The economy produces 1200 of good X and operates on its production possibility curve.

Which quantity of good Y is given up? → opportunity cost

- A 400 ☒ B 600 C 800 D 1000

- 2 In 2014, the Hong Kong Housing Authority said the waiting time for public sector housing had increased and it would only complete 8900 flats of the 15000 planned for the year. The reasons were the shortage of workers because they were needed in other public sector projects, the difficulty of finding land, and government regulations.

Which economic concepts are illustrated in this information?

- A a market economy and a lack of resources
B economic planning and the price mechanism
☒ C opportunity cost of labour and excess demand
D production possibility and budget deficit

Government



opportunity cost of labour

planned 15000
complete 8900 } Excess demand!
[Govt Expenditure exceeds Tax revenue]

- 3 What is most likely to be a distinguishing feature of the healthcare system of a mixed economy?

- A a mixture of foreign and domestically owned hospitals (private sector)
B a mixture of foreign and domestic medical staff (private sector)
☒ C a mixture of government-owned and privately owned hospitals
D a mixture of specialist and general hospitals (private sector)

Public and private sector operated together

Diagram Drawn Below

- 4 An economy can produce only two goods at any one time. These are good X and one other good from A, B, C or D. The table shows the outputs of goods A, B, C and D with each output of good X when the economy's resources are fully employed.

Which good must be produced with good X to show a production possibility curve with increasing costs? (More has to be forgone)

	units				
X	0	100	200	300	400
A	0	20	40	60	80
B	110	40	70	40	20
C	120	30	90	30	0
D	140	120	90	50	0

good X $\Rightarrow$ Increasing by 100

output increasing constantly

Decreasing then constant

constant opportunity cost

Increasing opportunity cost

20 30 40 50
movement along the demand curve

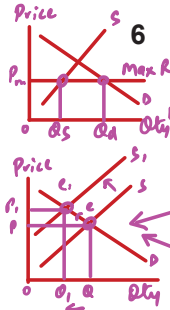
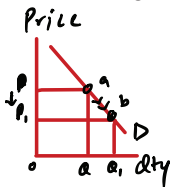
- 5 What could not cause a shift in an individual's demand curve for good Z? [Price effect]

- A a change in advertising expenditure on Z (shift)
B a change in the individual's income (shift)
C a change in the individual's tastes (shift)
D a change in the price of Z (movement)

[Price effect]

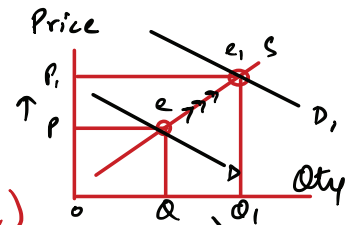
$\Downarrow$
ceteris paribus

Keeping all other factors constant or taking one into isolation.



- 6 What is most likely to increase the quantity of houses supplied?

- A a policy to help house buyers on modest incomes (Demand $\uparrow$)
B a restriction on the level of rent that can be charged (QSD $\downarrow$)
C a rise in the tax on materials used for building houses (cost $\uparrow$, Supply $\downarrow$)
D the removal of a subsidy to house builders (cost $\uparrow$, Supply $\downarrow$)



$e - e_1 \Rightarrow$ Quantity Supplied

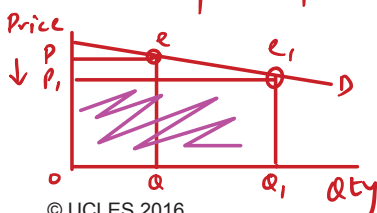
- 7 In which situation is the demand for a product said to be price elastic?

- A A fall in price increases expenditure on the product.
B A fall in price increases quantity demanded. (Law of demand)
C A rise in price increases expenditure on the product. (inelastic)
D A rise in price reduces quantity demanded. (Law of demand)

A small change in price brings a larger percentage change in quantity demanded!

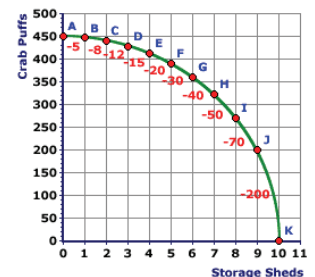
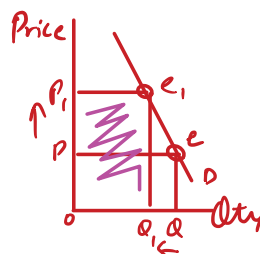
(A) Elastic

Prices $\downarrow$ QD $\uparrow$ TR $\uparrow$ or TE $\uparrow$



(C) Inelastic

Prices $\uparrow$ QD $\downarrow$ TR/TE $\uparrow$



MCR '4'

[Turn over]

$$XED = \frac{\% \Delta \text{ in } QD \text{ of good Y}}{\% \Delta \text{ in price of good X}}$$

$$\% \Delta = \frac{\text{New} - \text{old}}{\text{old}} \times 100$$

$$-0.8 = \frac{2800 - 2000}{2000} \times 100$$

$$\frac{800}{10} \times 100$$

- 8 Goods X and Y are complements with a cross-elasticity of demand of -0.8.

When the price of good X was \$10, the quantity of good Y demanded was 2000 units per week. After a change in the price of good X, the demand for good Y increases to 2800 units per week.

$$\frac{10 - 5}{10} \times 100 = 50\%$$

What is the new price of good X?

$$\% \Delta \text{ in } QD_Y = 40\%$$

$$\frac{40\%}{0.8} = 50\%$$

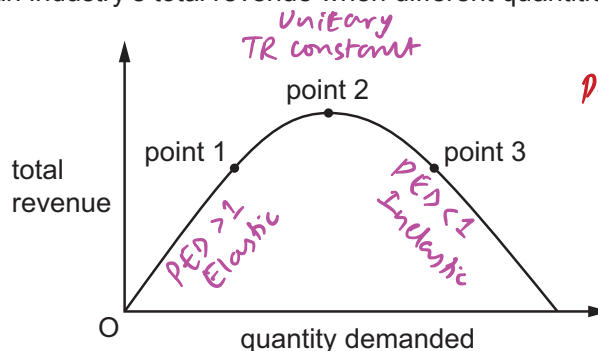
$$\% \Delta \text{ in Price } X = 50\%$$

- ☒ A \$5.00 B \$6.80 C \$13.20 D \$15.00

- 9 The diagram shows an industry's total revenue when different quantities are demanded.

Elastic :-

Prices ↓ QD ↑ TR ↑
Price and TR (-ve)
QD and TR (+ve)



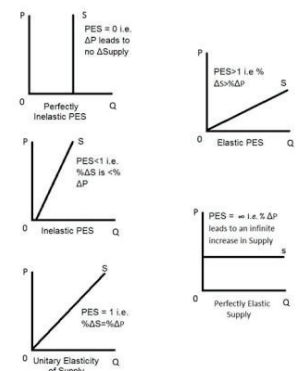
Inelastic
Prices ↑ QD ↓ TR ↓
Price and TR (+ve)
QD and TR (-ve)

Unitary
Prices ↑ QD ↓ TR unchanged
Prices ↓ QD ↑

Which values should be inserted at points 1, 2 and 3 to identify the price elasticity of demand (PED) at that position?

	point 1	point 2	point 3
☒ A	PED > 1	PED = 0	PED < 1
☐ B	PED > 1	PED = 1	PED < 1
☐ C	PED < 1	PED = 0	PED > 1
☐ D	PED < 1	PED = 1	PED > 1

Elastic Supply



- 10 What would increase the price elasticity of supply of a firm's products?

- A a decrease in the period of time that stocks can be kept (Less stored, Less response)
☒ B a decrease in the time that it takes to produce the products (More responsiveness)
 C an increase in the cost of capital goods employed by the firm (Less responsiveness)
 D an increase in the level of employment in the area (Economy, not a firm's product)

PES :- It measures the responsiveness to the percentage change in quantity supplied, to the percentage change in price

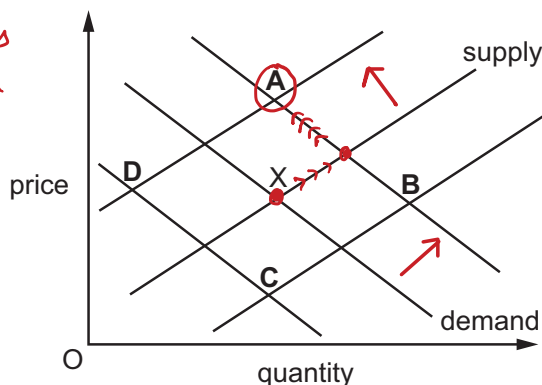
Factors :- Time period, storage, Agricultural vs Manufactured, perishable etc

5

- 11 The diagram shows the market for a luxury brand of smartphones. The initial equilibrium is at point X.

What will be the new equilibrium following a rise in the price of batteries used by the manufacturer of smartphones and a rise in consumer incomes?

Rise in price of batteries
cost of production ↑
Supply ↓



consumer income ↑
Demand ↑

- 12 When will it not be possible to use price as a rationing mechanism? *Part of price mechanism, where shortage can occur and it can be eliminated through price increase.*

(Shortage can result)
(Shortage can result)

A when a good has a number of close substitutes

B when a good is an inferior good

☒ C when the demand for a good is infinitely inelastic *(Demand is fixed) (No change)*

D when the quantity of a good is in fixed supply *(Demand can still change, shortage can result)*

- 13 A government imposes an indirect tax on a product with normal demand and supply curves. The tax raises \$100 million. *(C.B + P.B = \$100m)*

What effect will the tax have on the value of the combined consumer surplus and producer surplus?

A It will be unaffected.

B It will fall by less than \$100 million.

C It will fall by exactly \$100 million.

☒ D It will fall by more than \$100 million.

$$* C.B + P.B = \$100m$$

$$* C.S \text{ earlier} = P a e$$

$$\text{after } C.S = P_1 a e_1$$

$$\text{loss of } C.S = P P_1 e_1 e [C.B + 1]$$

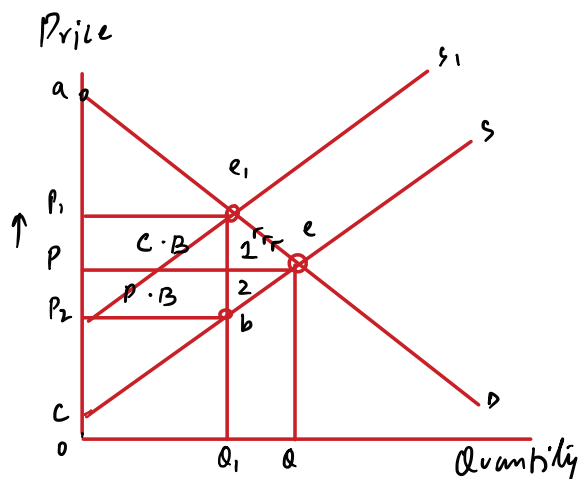
$$* P.S \text{ earlier} = P c e$$

$$\text{after } P.S = P_2 b c$$

$$\text{loss of } P.S = P e b P_2 [P.B + 2]$$

$$* [C.B + 1] \text{ and } [P.B + 2]$$

More than \$100m!



6

- 14 In the diagram, D is the demand curve of an agricultural commodity and S is the initial supply curve.

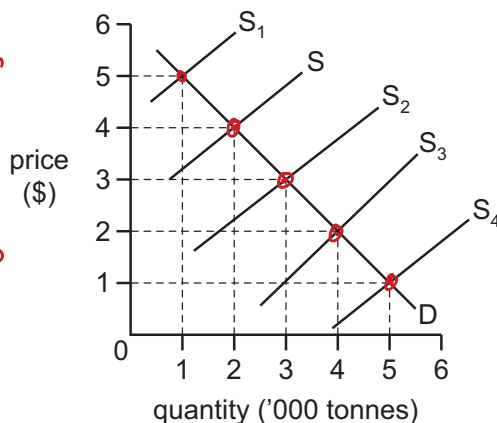
$$\$4 \times 2 = \$8000$$

The government promises to maintain farmers' incomes at least at this initial level. The harvests in four subsequent years are shown by supply curves S_1 – S_4 .

year 1 :- $\$5 \times 1 = \5000
 Help of $\$3000$ in year '1'

year 4 :- $\$1 \times 5 = \5000
 Help of $\$3000$ in year '4'

Total Help of $\$6000$



year '2' :- $\$3 \times 3 = \9000
 'No Help'

year '3' :- $\$2 \times 4 = \8000
 'No' Help'

How much in total will the government pay to support farmers over the four subsequent years?

- A \$0 B \$3000 **C \$6000** D \$10 000

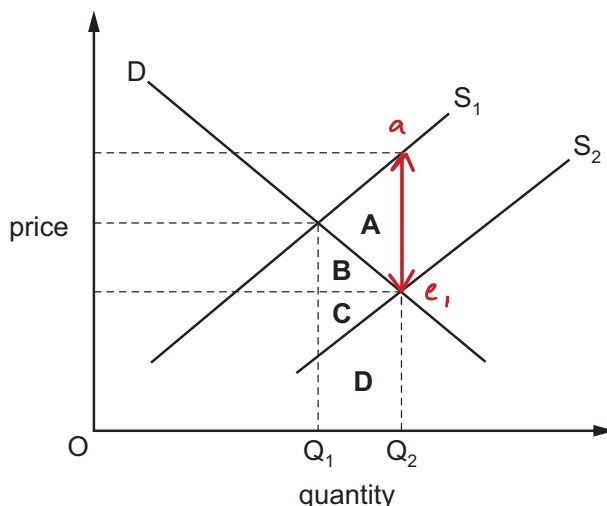
- 15 The diagram shows the supply and demand curves of a commodity.

A government subsidy causes the supply curve to shift from S_1 to S_2 .

Which area measures the difference between the cost to the economy of producing the resulting increase in output (Q_1 – Q_2) and the value consumers place on this increase in output?

* Vertical distance between 2 supply curve is called per unit subsidy

* Vertical distance at Quantity ' Q_2 '
 Area 'A'
 $[a - e_1]$



- 16 Total public spending in the UK, excluding interest payments, is planned to be £679 billion for the fiscal year 2015–2016. The table shows this by category.

$$£150 + £110 \Rightarrow$$

£260 billion !

	£ billion
pensions	150
healthcare	133
education	90
defence	46
social security welfare payments	110
other spending on goods and services	150

A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

Transfer payment: These payments are considered to be non-exhaustive because they do not directly absorb resources or create output. Examples of transfer payments include welfare, financial aid, social security, and government making subsidies for certain businesses (firms).

What was the total amount spent on transfer payments?

- A £110 billion B £150 billion ☒ C £260 billion D £393 billion

- 17 Which government policy might limit the rationing function of the price mechanism?

- A the abolition of tariffs on imported consumer goods
B the levy of indirect taxes at varying rates on different goods
C the payment of subsidies to exporters

- ☒ D the setting of minimum prices for milk

Price will play its role and finds a new equilibrium

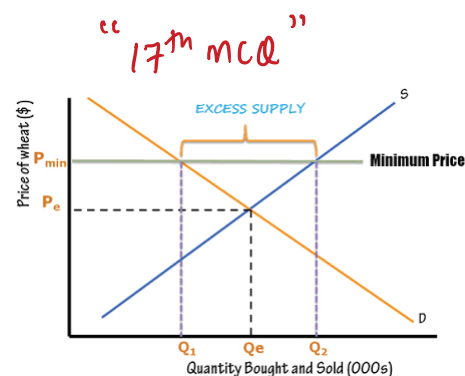
(Minimum price)

↳ surplus exists, no equilibrium established!

- 18 Which argument has often been used to justify the privatisation of state enterprises?

- A Private firms always aim at maximum profits. (Negative of privatisation)
☒ B Private firms can produce the same outputs at lower unit costs.
C ^{government} State enterprises are always monopolies which exploit consumers. (No)
D ^{government} State enterprises cannot operate without government subsidies. (No)

Private firms operate on a large scale, with effective use of factors of production, resulting in economies of scale i.e. falling of average cost.



Government Expenditure $\uparrow$ = $AD \uparrow$

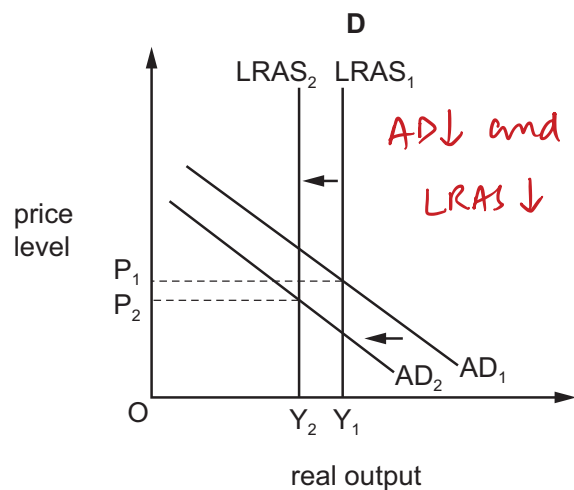
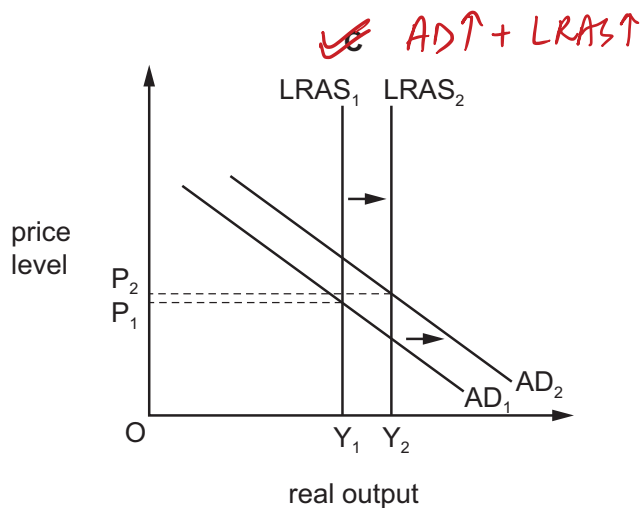
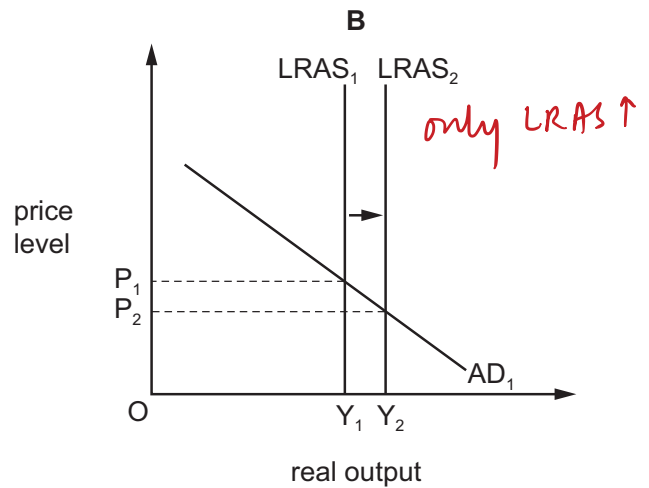
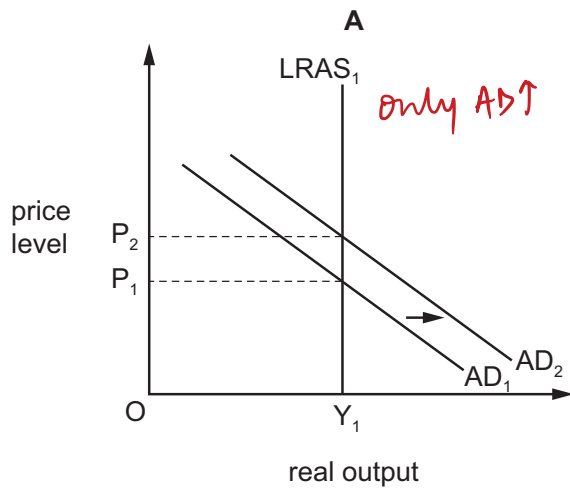
$\uparrow$

8

Long term growth $\Rightarrow$ $LRAS \uparrow$

- 19 A government plans to increase spending on education and training every year.

Which diagram shows the likely effect of this increase on the economy's long-run output and price level?



- 20 In 2012, the rate of inflation in Botswana was 7.5%. Person X kept all of their savings in the form of cash while Person Y put their savings into a bank account on which they earned 5.0% interest.

money value $\downarrow$

What was the effect on the real value of their savings by the end of the year?

	Person X	Person Y
☒ A	decrease	decrease
☐ B	decrease	increase
☐ C	no change	decrease
☐ D	no change	increase

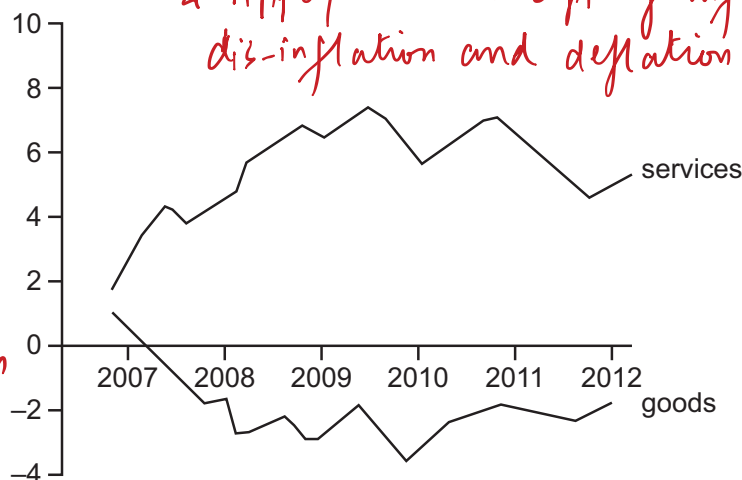
$\downarrow$
inflation rate >
interest rate
 $\downarrow$
money value $\downarrow$

- 21 The graph shows the annual percentage change in the prices of services and in the prices of goods between 2007 and 2012.

* Dis-inflation:-
Prices are increasing
at decreasing
rate

* Every year,
inflation rate adds up

% annual
price
change



What can be deduced from the graph?

- A On average the price of services was higher than the price of goods throughout the period. (No) ^{'2007'}
- B The average price of goods was higher in 2012 than in 2010. (There was a fall) (Deflation)
- ☒ C The average price of services was higher in 2012 than in 2010.
- D There was a fall in the general price level between 2008 and 2010. (No) (only in goods)

- 22 The table shows items from the balance of payments for countries A, B, C and D.

Official financing including changes in reserves is excluded from the financial account.

Which country has the greatest disequilibrium on its balance of payments?

	Current Account \$ million	=	Capital Account \$ million	+	Financial Account \$ million	
A	-41		13		28	= 0
B	-32		-5		-37	= -10
C	-15		-17		4	= -2
☒ D	44		12		25	= 7

current account = capital account + Financial account = '0'

* The period is generally one year. Thus, seasonal inequality between exports and imports is not a sign of disequilibrium. When the balance of payments of a country is in equilibrium, the demand for domestic currency is equal to its supply. The demand and supply situation is thus neither favourable nor unfavourable.

* Disequilibrium of Surplus arises when the receipts of the country exceed its payments. Such a situation arises when the effective demand for foreign exchange is less than its supply. Such a surplus disequilibrium is termed as 'favourable balance'.

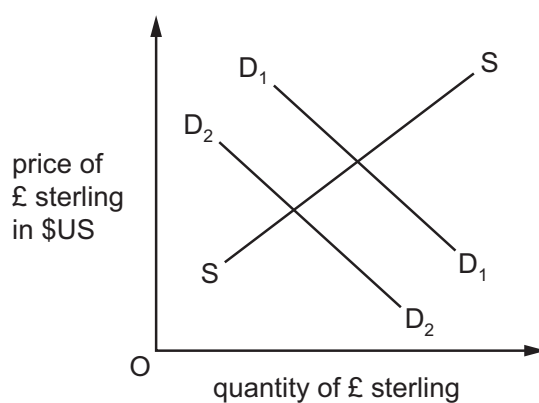
Appreciation Revaluation
Depreciation Devaluation

- 23 An increase or decrease in exchange rates can take place in both a floating and a fixed exchange rate system but different terminology is used for each system.

What is the correct terminology?

	decrease in floating	increase in fixed
A	depreciation ✓	appreciation
B	depreciation ✓	revaluation ✓
C	devaluation	appreciation
D	devaluation	revaluation ✓

- 24 In the diagram, curves D_1D_1 and SS relate to the demand for and supply of £ sterling in the foreign exchange market.



$Demand_{£} \downarrow$

What may cause the demand curve to shift from D_1D_1 to D_2D_2 ?

- A an increase in the price of US goods sold in the UK, $imports \downarrow$, $Supply_{£} \downarrow$
- B an increase in UK interest rates $Demand_{£} \uparrow$ and $Supply_{£} \downarrow$
- ~~C~~ the development of US substitutes for UK goods, $demand \text{ for UK goods } \downarrow$, $less \text{ payment received}$
- D the removal of UK tariffs against US goods,
 $more \text{ imports, more payments made, } Supply_{£} \uparrow$
 $\Downarrow$
 $Demand_{£} \downarrow$

- 25 The table shows the indices of import prices and export prices of four countries between July 2013 and July 2014.

	index of import prices		index of export prices		TOT	
	July 2013	July 2014	July 2013	July 2014	2013	2014
Brazil	137	139	164	162	1.2	1.2 α
China	98	101	99	99	1.01	0.99 α
Italy	113	111	113	114	1	1.03 $\checkmark$
Spain	110	106	111	109	1.01	1.03 $\checkmark$

In which countries did the terms of trade improve between July 2013 and July 2014?

A Brazil and China

B China only

☒ C Italy and Spain

D Italy only

$$TOT := \frac{x \text{ prices}}{m \text{ prices}} \times 100$$

- 26 Country X can produce apples and plums at lower cost than country Y.

Country X can also produce strawberries but it costs more to do so than in country Y.

In fact, country X produces only apples and trades them for plums and strawberries from country Y.

What economic analysis could explain this pattern of trade?

Absolute advantage in country 'Y'

Country X $\rightarrow$ comparative advantage in apples

$\rightarrow$ comparative advantage in country 'Y'

	plums	strawberries
A	absolute advantage country X	absolute advantage country X
B	absolute advantage country Y	comparative advantage country Y
☒ C	comparative advantage country Y	absolute advantage country Y
D	comparative advantage country Y	comparative advantage country X

- 27 A government wants to use trade protection both to improve its trade performance and to raise government revenue.

Which policy will help it to achieve this?

A raising quotas on imported goods (No Tax revenue)

B raising subsidies on exported goods (No Tax revenue)

C raising tariffs on exported goods (Worsening Trade performance)

☒ D raising tariffs on imported goods (Improve Trade performance)

$\downarrow$
Tax revenue

Fiscal policy



Supply side policy



12

Extract talks about Government expenditure in training college

- 28 A newly-built public sector engineering training college received poor inspection reports. The government ceased to pay the college the money that it had usually received as its annual grant.

Which types of government policy does this statement imply?

- A fiscal and monetary policies only (interest rate) (Not mentioned)
 - ☒ B fiscal and supply-side policies only
 - C fiscal, monetary and supply-side policies (interest rate) (Not mentioned)
 - D monetary and supply-side policies only (interest rate) (Not mentioned)
- 29 Which measure to correct a balance of payments current account deficit would be classified as an expenditure-dampening policy?
- A a reduction in interest rates, $R \downarrow$, $C \uparrow$, imports Expenditure $\uparrow$
 - B a revaluation of the currency, Appreciation, imports cheaper, import Expenditure $\uparrow$
 - ☒ C an increase in direct taxes, $Tax \uparrow$, disposable income $\downarrow$, $C \downarrow$, import Expenditure $\downarrow$
 - D an introduction of foreign exchange controls (Limiting the amount of currency allowed to convert, part of switching policy)
- 30 A government is faced with rising inflation. It wishes to reduce inflationary pressure while avoiding a rise in unemployment.

Which action is most likely to meet its needs?

- A an increase in employment taxes, $Tax \uparrow$, $AD \downarrow$, but Unemployment $\uparrow$
- ☒ B an increase in laws to promote competition, more competition, $AS \uparrow$, prices $\downarrow$, output $\uparrow$
- C an increase in the budget surplus, $Tax \text{ revenue } \uparrow$, $G \downarrow$, $AD \downarrow$, but unemployment $\uparrow$
- D an increase in the exchange rate, Appreciation, $X \text{ prices } \uparrow$, $AD \downarrow$, but Unemployment $\uparrow$

* Expenditure Dampening / reducing policy targets to reduce the expenditure of domestic residents on imported goods by changing tax rate and interest rate.

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